

Rowe Price has higher fees (still lower than the industry average) but allows investors to get started with a minimum of \$50 a month automatically siphoned out of a checking account.

Bonds are generally less risky than stocks but riskier than money market funds and you can still lose money with them. Holding bonds as well as stocks will help to diversify your investments, reducing your overall risk. Vanguard and T. Rowe Price offer no-load bond funds as well. While there are several different types of bond funds, a reasonable approach would be to choose a **bond index fund** that invests in government securities or highly rated corporations.

To learn more about bond funds, stock funds, index funds, and investing in general—you guessed it—you'll have to read Chapter 5.

6. Find out your credit score and improve it.

A **credit score** is a number that tells lenders whether or not you're a good risk. It's basically a mathematical representation of your financial behavior, and it's contained in files at three national credit agencies: Equifax, TransUnion, and Experian. These files, which include information received by the agencies from your various creditors, are called your **credit reports**. You're legally entitled to one free report from each of the agencies every year. You should get them at www.annualcreditreport.com and check to make sure all the information included about you and your financial behavior is accurate.

You can think of your credit score as the SAT score of your financial abilities; the only difference is that unlike your SATs, your credit score is being recalculated all the time—and will have a huge impact on your life forever. If you want to qualify for a low-rate credit card, car loan, or home loan, and if you want to rent an apartment, get insurance, or change cell phone plans, your credit score will matter. To find out your credit scores from all three agencies (they often vary), go to www.myfico.com. It costs about \$50 for all three. (See Chapter 3 for details.)

Once you've collected all this information, take steps to make sure your score is as good as it can be. The higher your score, the more likely you are to get a lower interest rate on a loan. The biggest component of your credit score is your track record for making on-time payments, followed by the amount of credit you're using and the length of your credit history. One of